

CANDLESTICK PATTERNS

One candlestick by itself shows very little other than data restricted to merely one period. We cannot do much depending on the reading from just one candlestick. As a result, we will now put together multiple candlesticks in a sequential format and then try to understand the candlestick patterns.

Multiple candlesticks together form patterns and they show the behaviour of the market over the period of time and therefore help us make decisions. These patterns reflect the psychology of the market. Most of these patterns repeat themselves over and over again and therefore give us some sense of predictability about the trading decisions to be taken.

We also saw that these patterns should not be seen as mere patterns on the graph, but the behaviour of bulls and bears that they represent is to be focused on more. The ultimate objective of candlesticks or technical analysis, in general, is to identify the one with the upper hand at the moment i.e. the bulls or the bears, and then try not to be on the wrong side. This is what we will do to understand candlesticks patterns as well.

There exists a very wide variety of candlestick patterns. We will understand the most commonly used ones. With more and more practice, one will be able to identify with many patterns. Also, it is impossible to use all the patterns to make decisions. As we move forth with it, we will be coming up with strategies based on only those patterns we are comfortable with.